Higher National Diploma in Accountancy

First Year, First Semester Examination – 2023

DA 1113 : Financial Accounting (I)

Instructions for candidates:
Answer five (05) questions including question **01 and 02.**
All questions **do not carry equal** marks.

No. of questions : 06
No. of pages : 07
Time : Three hours

Question No 01 **(Total Marks 20)**

(i) What is the primary objective of general-purpose financial reporting according to the Conceptual Framework for the Preparation and Presentation of Financial Statements? (02 Marks)

(ii) Briefly explain the Accounting process. (02 Marks)

(iii) What are the key differences between management accounting and financial accounting? (02 Marks)

(iv) Explain the importance of data security in accounting controls within a digital environment. (03 Marks)

(v) Explain the accounting treatment for recognizing revenue from interest and dividends. (02 Marks)

(vi) Mention the Source documents for followings

a. Cash sales b. Petty expenses

c. Purchase return d. Sales return (02 Marks)

(vii) Identify the accounting principles for the following scenarios;

a. A business owner withdraws inventory items for personal use.

b. A business records all expenses related to revenue earned within a period, even if some expenses are unpaid. (02 Marks)

(viii) What rules apply to a partnership business, when there is no partnership agreement in place? (02 Marks)

(ix) Silva Enterprises is a VAT registered business and engaged in the following transactions during February 2024, with all purchases and sales including 18% VAT:

a. Purchased raw materials on credit valued at Rs. 4,425,000.

b. Sold finished goods for cash valued at Rs. 7,080,000.

You are required to pass the journal entries. (03 Marks)

Question No 02 **(Total Marks 26)**

Dinithi, Minuthi and Pawani formed a partnership, with the following terms outlined in their partnership agreement:

- Profits and losses are to be distributed in the ratio of 4:3:3 among Dinithi, Minuthi and Pawani respectively.
- Dinithi and Pawani are entitled to receive a monthly salary of Rs. 25,000 and Rs. 20,000, respectively.
- Each partner is entitled to receive 5% interest per annum on their capital.
- Interest on drawings is to be charged at 10% per annum.

The trial balance for the Dinithi, Minuthi and Pawani partnership as at 31st March 2024 is provided below.

	Dr (Rs.'000)	Cr (Rs.'000)
Capital Accounts as at 01.04.2023		
Dinithi		3,000
Minuthi		2,500
Pawani		2,000
Current Accounts as at 01.04.2023		
Dinithi		400
Minuthi		200
Pawani	100	
Land and Building-at cost	4,800	
Plant and machinery-at cost	2,100	
Motor Vehicle -at cost	2,900	
Office equipment	1,200	
Provision for depreciation at 01.04.2023		
Building		240
Plant and machinery		360
Motor Vehicle		420
Office equipment		370
Inventory as at 01.04.2023	750	
Trade Receivables / Trade Payables	880	960
Purchase / Sales	5,100	8,200
Provision for doubtful debt at 01.04.2023		20
Cash at bank	250	
12% Bank Loan		800
Selling expenses	190	
Salaries and wages	280	
Building rent	150	
Advertising expenses	210	
Carriage inwards	160	

Carriage outwards	230	
Return inwards/ Return outwards	160	170
Long term Investment	350	
Sales Commission	190	
Electricity	100	
Telephone charges	70	
Investment income		160
Insurance	230	
Suspense account		600
	20,400	**20,400**

The following additional information is available:

1) The inventory as of 31st March 2024 is valued at a cost of Rs. 800,000, with a net realizable value of Rs. 750,000.
2) The cost of land is Rs. 2,000,000 and it was revalued at Rs. 2,600,000 by a professional valuer. The revaluation has not yet been recorded.
3) Goodwill is to be valued at Rs. 750,000 and the adjustment is to be made by maintaining a Goodwill account in books of accounts.
4) As at 31st March 2024, accrued expenses included Rs. 70,000 for insurance and Rs. 30,000 for Electricity. Additionally, there was a prepaid expense of Rs. 40,000 for building rent.
5) A motor vehicle purchased by the partnership business on 1st April 2022 for Rs. 750,000 was sold on 31st March 2024 for Rs. 600,000. The sale proceeds were debited to the Cash account and credited to the Suspense account. No other entries related to the disposal of the motor vehicle have been recorded in the books of accounts.
6) Depreciation on non-current assets is calculated as follows:
   a) Building and Office Equipment: 5% on the straight-line method
   b) Plant and machinery: 10% on the reducing balance method
   c) Motor Vehicle: 15% on cost.
7) An amount of Rs. 20,000 is to be written off as bad debts, and a general provision for doubtful debts should be provided at 5% of the remaining balance of debtors.
8) The following goods withdrawn by the partners have not yet been accounted for:
   a) Dinithi: Rs. 10,000 per month at the beginning of each month.
   b) Minuthi: Rs. 15,000 per month at the middle of each month.

You are required to prepare:

(a) Trading, Profit and Loss Appropriation account for the year ended 31st March 2024.
(b) Partners' Capital Account and the Current Account.
(c) Statement of Financial Position as at 31st March 2024.

Question No 03 **(Total Marks 18)**

(a) State the differences between a Receipts and Payments Account and the Income and Expenditure Account in a not-for-profit organization. (03 Marks)

(b) Wellassa Sports Club was established on 1st March 2020 to promote athletic activities among the youth in Uva province. The Receipts and Payments account of the Wellassa Sports Club for the year ended 31st March 2024 is as follows:

Receipts & Payments Account for the year ended 31 March 2024 **(Rs.)**

Cash balance as at 1 April 2024	125,000	Purchase of sports equipment	90,000
Membership fee	485,000	Wages paid to canteen staff	29,500
Donations	162,000	Ground maintenance	42,800
Life membership fee	220,000	Electricity	14,500
Revenue from Canteen	210,500	Canteen Insurance expense	20,000
		Purchase goods for canteen	111,700
		Rates and taxes	8,500
		Water bill	10,000
		Other canteen expenses	13,000
		Secretarial Expenses	18,000
		Cash balance as at 31 March 2024	844,500
	1,202,500		**1,202,500**

Additional Information:

1. The following additional information is also available. **(Rs.)**

	1 April 2023	**31 March 2024**
Membership fees in arrears	208,000	309,500
Membership fees received in advance	17,000	30,000
Land & Buildings (Net book value)	450,000	425,000
Fixed Deposit	250,000	250,000
Canteen inventory	45,000	58,000
Accrued expenses - Electricity	15,000	20,000
- Water bill	18,000	22,000

2. The sports equipment, purchased on 1st October 2023, should be depreciated at a rate of 10% per annum on its cost.
3. Receivable Interest income of Rs. 18,000 from the fixed deposit has not been recorded in the books of accounts.
4. The life membership scheme, introduced on 1st April 2023, received subscriptions from 10 members for life membership. It is estimated that, on average, each member will remain with the association for approximately 25 years.
5. The executive committee decided to write off Rs. 15,000 of overdue membership fees from the previous year.

You are required to,

(i) Prepare Income and Expenditure Account of the Wellassa Sports Club for the year ended 31st March 2024

(ii) Prepare Statement of Financial Position of the Wellassa Sports Club as at 31 March 2024.

(15 Marks)

Question No 04 **(Total Marks 18)**

i. Amarathunga's business carries out all transactions through a bank account. The balance in the bank account on 01.01.2024 was Rs.400,000. The transactions during the month of January 2024 are given below:

Date	Description	Receipt No	Voucher No	Cheque No	Amount Rs
1st	Cash Purchase		101	400250	152,000
3rd	Cash Sales	51		247521	230,000
4th	Purchase Office Equipment		102	400251	60,000
8th	Received from Chaminda	52		835504	121,000
9th	Purchase from Susantatha				300,000
11th	Dividend income	53		Cash	55,000
15th	Sales on credit to Lal				400,000
19th	Paid Susantha, 5% Discount received		103	400252	285,000
20th	Paid Electricity		104	400253	55,500
22nd	Obtained Bank loan	54		Cash	500,000
23rd	Paid Insurance		105	400254	85,000
25th	Amarathunga's Drawings		106	Cash	25,000
26th	Cash sales	55		Cash	145,000
27th	Received from Lal, Discount Rs.40,000	56		404524	360,000
29th	Paid Salaries		107	400255	210,000
30th	Payment of Loan installment (interest Rs.5,000)		108	400256	27,500
31st	Interest income	57		Cash	72,000

Required:

1. Prepare the Cash Receipts Journal and Cash payments Journal for Amarathunga's business for the month of January 2024.
2. Use the information from the cash receipt Journal and Cash payments Journal to prepare the cash control account. (11 Marks)

ii. The petty cashier of SOY Lanka Company paid cash for the following expenditures during January 2024.

Date	Particulars	Voucher No	Value (Rs.)
01	Petty cash Balance		40,000
03	Bought some liquid material for cleaning	301	2,200
05	Paid for Travelling	302	1,450
06	Entertainment cost	303	3,200
07	Bought File covers	304	650
09	Newspaper advertisement	305	6,000
11	Pens and Pencils	306	1,600
12	Payment to Jagath	307	4,000
14	Vehicle hire charges	308	2,500
15	Telegrams	309	1,250

17	Tea expenses	310	1,400
20	Paid for Vehicle parking charges	311	1,300
22	File covers and clips	312	1,760
27	Purchase of Cleaning materials	314	1,700
30	Stamps and Envelops	315	1,450

Petty cash imprest has been reimbursed on 1st February 2024. You are required to record the above transactions in a Petty cash Book with suitable columns. (07 Marks)

Question No 05

(Total Marks 18)

(i) Briefly explain the common types of accounting errors.

(03 Marks)

(ii) The trial balance of ECO Construction Ltd as at 31st March 2024 showed a discrepancy. A difference was transferred to the Suspense Account to balance the books. Then final accounts were prepared, and the net profit for the period was ascertained as Rs.235,000. Subsequent investigations revealed the following errors:

(a) A credit sale of Rs.15,400 to a Debtor was recorded in the Sales account as Rs.14,800, though it has been correctly recorded in debtor's account.

(b) The discount allowed account was not debited with an amount of Rs.18,600.

(c) An expense of Rs.45,300 for office repairs was incorrectly debited to the building account as Rs.54,300.

(d) A receipt of Rs.23,400 from a debtor through bank transfer was not recorded in the debtor's account.

(e) An amount of Rs. 100,000 paid for the purchase of a machine was incorrectly debited to the machine repairs account.

(f) A standing order payment for a loan installment of Rs. 40,000, which included an interest component of Rs. 6,000, was reflected in the March bank statement but was not recorded in the books of accounts.

(g) A discount of Rs. 20,500 received while settling cash payments to suppliers was not recorded in discount received account.

(h) The business owner withdrew Rs. 75,000 in cash for personal use. This transaction was recorded only in the cash book and not accounted for elsewhere.

You are required to:

(i) Prepare Journal Entries to rectify the above errors.

(ii) Prepare Suspense Account.

(iii) Calculate adjusted Profit (Loss) for the year ended 31st March 2024 of ECO Construction Ltd. (15 Marks)

Question No 06 **(Total Marks 18)**

i) The following information pertains to the closing inventory of "Chill Haven" Company as at 31st March 2024.

Item Group	Inventory Item	Quantity (units)	Cost (Per unit)	Net Realizable Value (Per unit)
Ice Cream	Vanilla	200	310	280
	Chocolate	180	400	390
	Strawberry	120	550	575

Required: Calculate the value of inventory to be reported in the Statement of Financial Position as as at 31. March 2024, if the company applies the group basis for valuing closing stock.

(03 Marks)

ii) The following is a summary of the inventory receipts and issues recorded by Vertex Manufacturing company during the month of August 2023: Inventory at 1st August 2022 was 120 units @ Rs.200.00 each.

Receipts			Issues	
Date	Cost per unit (Rs.)	Units	Date	Units
6th August	210	450	8th August	400
16th August	220	650	17th August	600
25th August	190	850	28th August	800

You are required to Calculate Cost of Inventory of Vertex Manufacturing company as at 31.08.2023 based on First-in-First-Out (FIFO) method. (06 Marks)

iii) The details pertain to Subashini business for the year ended 31 March 2024 is as follows:

1) Opening and closing assets and liabilities.

Particulars	01/04/2023 (Rs)	31/03/2024 (Rs)
Land and Buildings	750,000	700,000
Furniture and Fittings	280,000	240,000
Motor Vehicle	620,000	558,000
Inventory	225,000	340,000
Trade receivable	150,000	265,000
Trade payable	358,000	300,000
Accrued expenses	54,000	70,000
Prepaid expenses	42,000	65,000
Bank overdraft	80,000	95,000
Cash	245,000	330,000

2) Additional capital introduced during the year is Rs. 150,000.
3) The owner used business cash to pay her personal annual insurance expense of Rs.40,000 and Cash taken by her in each month Rs.4,000.

You are required to:

(i) Calculate Profit or loss of the business for the year ended 31st March 2024
(ii) Prepare the Statement of Financial position as at 31st March 2024. (09 Marks)